

Questions – Group Case Study #3

Worldwide Paper Company, 2018, #UV2499

In this case, your team has been tasked with determining whether Worldwide Paper Company should implement the new investment it is considering. **Your group report should be written in the form of answers to the questions below, using MS Excel, MS Word, or MS PowerPoint.** When finished, please have someone in your group upload your answers to Canvas.

For this case, I recommend starting with the “Template” tab of the MS Excel file, “FCF and NPV Practice Solution.xlsx,” that is available on Canvas. Then, make modifications to the file as needed. You can also upload that MS Excel to Canvas so that I can see how you solved the question. Please assume that the firm’s cost of capital is 8% when answering the questions below.

This case is worth six points. Questions 1-4 are worth one point each, while question 5 is worth two.

In your analysis, please answer the following questions:

1. What are the yearly operating cash flow implications (i.e., unlevered net income + depreciation) of this investment decision given the assumptions of the case? *[Note: For this and subsequent questions, I **strongly** encourage you to construct a pro forma income statement in an MS Excel file, similar to what we did in the in-class practice problem. Moreover, I recommend placing all key assumptions of the case on a separate tab and filling in your pro forma by referencing these assumptions. By doing so, you will more easily conduct sensitivity analysis in question #5 below].*
2. What are the yearly cash flow implications of the investments in net working capital? If these investments involve accounts receivable, why would it be appropriate to adjust for them in our estimates of the incremental FCFs? *[Note: Again, I strongly encourage you to tabulate these and subsequent estimates in an MS Excel file and to keep all assumptions of the case in a separate tab that your estimates can reference].*
3. In summary, what are the incremental FCFs of the investment? When calculating these FCFs, remember to account for the investment outlays!
4. Using a discount rate of 8%, what is the NPV of the investment? Would you recommend that WPC pursue this investment? Why or why not? *[Note: Please ignore the 10% hurdle rate mentioned in the case, as this number is likely outdated. Instead, use 8%. Moreover, to receive full credit for this question, you must explain your recommendation.]*
5. Identify any assumptions of the case and WPC’s estimates that you might want to challenge, and then assess how sensitive the NPV is to changes in these assumptions. Which assumption do you believe is most crucial in valuing this project? How confident

are you in your recommendation? *[Hint: if you've kept your assumptions organized as discussed above, it will be easier to test different assumptions & answer this question.]*

Additional discussion points (not to be turned in):

1. What do you think of WPC's decision not to adjust the post-2017 estimates for future inflation? Do you believe cash flow estimates should reflect inflation adjustments?
2. If purchasing shortwood externally poses a risk for WPC because the company has little control over a major input cost, how might this affect its investment decision?